

SENATE BILL 1124

By Southerland

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 6; Title 7; Title 9; Title 13; Title 47; Title 65
and Title 66, relative to net metering credits.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, Part 1, is amended by
adding the following as a new section:

47-18-136.

(a) As used in this section:

(1) "Company" means a for-profit or not-for-profit organization, association, corporation, partnership, joint venture, limited partnership, limited liability partnership, limited liability company, or other entity or business association, including all wholly owned subsidiaries, majority-owned subsidiaries, parent companies, or affiliates of those entities or business associations;

(2) "Net metering credit" means a billing mechanism that credits a solar energy system owner or user for the electricity or energy the solar energy system adds to the utility grid;

(3) "Solar energy system" or "system" means a device, mechanism, structure, apparatus, or part thereof, whose primary purpose is to collect solar energy and convert and store it for useful purposes, including heating and cooling buildings or other energy saving processes, or to produce generated power by means of any combination of collecting, transferring, or converting solar-generated energy; and

(4) "Utility" means:

(A) A public utility, as defined under § 65-4-101, that provides electricity;

(B) A municipal or county-owned utility that provides electricity; or

(C) A cooperative, as defined under § 65-25-102.

(b) A company offering to sell or install a solar energy system must provide written proof that the utility serving the area where the system is to be installed has a net metering program or otherwise offers net metering credits to an owner or user of a system before the company enters into an agreement to sell or install the system. The written proof required by this subsection (b) must include:

(1) A description of how the net metering program works, including the requirements to participate; applicable fees related to participation; and the general or anticipated buyback or crediting rate; and

(2) A notarized signature or document from the utility verifying that the utility has a net metering program or otherwise offers net metering credits to an owner or user of a solar energy system in the area in which the system is to be installed.

(c) A violation of subsection (b) constitutes a violation of this part as an unfair or deceptive act or practice affecting the conduct of trade or commerce, and is subject to the penalties and remedies as provided by this part. Each act in violation of subsection (b) constitutes a separate violation of this part.

SECTION 2. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following as a new subdivision:

() Violating § 47-18-136;

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it, and applies to agreements entered into or modified on or after that date.